Eye-to-Eye with the Toughest Customers

How an ex-IBMer returned to India to set up India's largest hardware exports company. And sold his stuff back to IBM



The Tandon group has a staff strength of over 5,500 while total factory space exceeds 3,50,000 square feet.
Picture by Vinayaka Prabhu

TWO years ago, as M L Tandon was working at his office at SEEPZ, Bombay, he was disturbed by a call from the US. Nothing unusual, except that the call originated from the chip-manufacturing colossus — Intel.

Apparently Intel was trying to source power supplies and had identified Tandon's company as potential supplier.

But Tandon was mystified. He had never advertised his products in the US. So how did Intel know about his company?

The answer illuminates the tough, intensely competitive American market: Compaq had just released a new PC range and Intel's engineers lost no time in opening it up. And one of the first things they saw was Tandon's power supplies inside along with its 'Made in India' label.

For Tandon, ex-IBMer and chairman of the Rs 221 crore Tandon group of companies, the phone call seemed to vindicate a decision, taken 16 years ago, to return to India and set up a hardware exports company. At a time when most expatriates pursued the more lucrative path of representing multinational companies or assembling PCs, Tandon chose the exports route.

Today, the group that Tandon has been quietly building up over the years has emerged as India's largest hardware exporter with an unbelievable (for an Indian company, that is) client's list. And the names? Some of the toughest customers in the world — Fortune 500 companies like IBM, Compaq, Seagate, Western Digital, Fujitsu and others.

In the hardware exports segment that's growing at a rapid 45.25 percent, Tandon dominates with group exports accounting for 41 percent of India's Rs 421 crore hardware exports in 1993-94. Justifiably, Tandon is proud of his achievements.

Years at 'Big Blue'

In 1963, roughly around the time when the floppy drive was being created, and when IBM still depended on punch card machines and running data centres for the bulk of its revenues, Tandon joined the R&D labs of IBM after completing an MS in Electronics at Purdue University. While working at IBM he simultaneously acquired an MBA and it was during this time that he drew up a chart showing his career path — how it would progress if he remained in the US and how it would if he returned to India and started his own business.

However, his intention was always to do his own thing in his own country and therefore, 15 years after reaching American shores, in 1978, he left IBM to return to India.

Like many other ex-IBMers, Tandon feels that his years at Big Blue were very fruitful. "It was not just the technology but the discipline of working with a multinational that was very helpful," says this first-generation entrepreneur.

Back Home

From IBM to Bombay was a vast change, but on returning to Bombay, Tandon set up his unit in SEEPZ (Santacruz Electronics Export Promotion Zone) because it was free from bureaucratic hassles. He started by making floppy heads and, later on, stepper motors, Winchester heads and floppy drives were added to the list. He deliberately decided to manufacture components rather than the end-product as components have a longer life.

The initial years were spent in meticulously building up a reputation and even though he had a lot of contacts from his tenure at IBM, getting orders was no cakewalk. And in the highly competitive international hardware market where few Indian companies have ventured, Tandon says he survived by going the "extra mile" and establishing a track record for reliability and delivering on time. He loves to recount the time when he himself delivered a consignment to the dock to ensure that it reached on time.

On the occupational hazards of being in the exports business, Tandon says, "If I am late by one day, my order is cancelled. We are measured on delivery. There are other suppliers in the international market. So this is what we are up against with dock workers strikes or airlines strikes and customs delays. How do you cope up with these factors? These are non-factors for the local guys. There is no tommorrow for us. If my goods don't reach the customer, I am history."



Tandon: "As a nation, we must pull our act together"

Exports, Exports, Exports

At a time when domestic industry was coddled and protected, the tough exports market was definitely an offbeat path to tread. "My thinking was different. I thought that some day exports will be realised as a thrust area for the government... I had a personal commitment to go into exports and since technology was my line I set up a hardware exports unit," says Tandon.

"People believe that India can't do anything. And it is very difficult for a company to be in exports unless the top man is fully committed to it," he adds. The greatest threat in the exports market, he feels, are the Chinese.

Recent events have proved him right with a vengeance. And with every Indian company religiously chanting the *mantra* of globalisation, it is apparent that Tandon has had a head start in the game.

He adds that the very first IBM PC, launched in 1981 contained heads and stepper motors supplied by Tandon. The parts were sold through an associate company run by Tandon's brother in the US. This company takes care of the marketing aspect of business. R&D is done jointly while all of Tandon's manufacturing outfits are based in India. The group has nine companies within its fold and manufactures floppy drives, SMPSs, Winchester head stacks, stepper motors, voice coils and gimbal assemblies. The products, which involve an average value-addition of 40 percent, are exported primarily to companies headquartered in the US, having factories all over the world.

A Nimble Giant

In an industry where technology changes every six months, the Tandon group had done well to keep pace with market trends. Says Tandon, "Out of our exports last year, only 20-30 percent consisted of old products. The rest consisted of newer, redesigned products." The group has also done well to recover from its setback in 1991 when the restriction placed on imports had curtailed its exports performance leading to a 42 percent decline in turnover. In spite of this, the group bounced back and recorded a 102 percent growth to Rs 159.69 crore in the year ended March, 1993. Its 1994 figures of Rs 221.43 crore (including net domestic sales of Rs 13.77 crore) indicate a healthy 38 percent growth. Tandon says that his plans for setting up a Winchester drive manufacturing unit may well see the group's turnover double! All this when, as Tandon himself admits, "We basically have a strength in manufacturing. We deploy the technology and produce in volume. But, we are not very aggressive marketers." And, by the year 2000, Tandon is aiming for a turnover of Rs 1000 crore.

'Made-in-India'

Tandon feels that domestic manufacturers have been spoilt rotten by protection. As an example he points out that, to book a car, he had to pay the full amount and wait for months to take possession of it. "Nowhere in the world does this happen. In the international market, I am penalised if I deliver one day late. Here, you can make money on the interest itself! And what does that tell me? That life is easy."

He feels since most customers have never dealt with a 'Made-in-India' product, they tend to be uncomfortable. In his own case, he says that it has been relationships and track record that has helped him bag such prestigious orders.

"We are opening doors, creating customers in companies like IBM and Seagate. They feel that India can do it. If Tandon an do it, others can do it too. That's the satisfaction I get out of the whole deal," says Tandon.

Though he feels that the government has moved in the right direction in encouraging exports, reducing interest levels and easing availability of credit, he urges that many other steps like modifying labour laws and focussing on select export areas need to be taken.

He says that though Indian manpower is cheap, productivity is low and attributes India's lack of progress to this factor. Tandon was recently embroiled in a controversy with workers alleging that the group paid wages that were below minimum wage levels. However, Tandon stoutly denies these charges.

On the government's role in industry, he feels that as a country we are not focussed. "In Japan, MITI [the body that develops long-term strategic plans for Japanese industry] decided that they would focus on floppy drives and they did it. Maybe they lost money initially, but now they have the market because they wiped out everybody else. Maybe we should focus on one or two products and become the world leaders in that."

Pointing out that internationally India's share of world trade is just 0.1 percent and, in electronics, around .04 percent, he says that there is no place to go but up. "As a nation, we must get our act together," he says.

Tandon has no doubt that India can compete with the world. But, "Do we have the will?" he asks.

That's a question that will become increasingly important as a new generation of entrepreneurs, brought up on the winds of liberalisation, pit their skills against the world's best.

And that will be a crucial test for we still run the risk of ending up like the Indian cricket team — an undoubtedly talented bunch; hamstrung by a total lack of killer instinct. ■

Venkatesh Hariharan

He who laughs last probably took backups